iii) Adjusting entries

After preparing the trial balance, but before preparing the final accounts, if any adjustment is required in the accounts for items or transactions left out, adjusting entries are made.

Example

Book value of the machinery as on 1st January, 2017 ₹ 1,00,000. Rate of depreciation is 10% p.a. Adjusting entry as on 31st December, 2017 is:

Adjusting Entry

Date	Particulars	L.F.	Debit ₹	Credit ₹
2017	Depreciation A/c (1,00,000 × 10%) Dr.		10,000	
Dec 31	To Machinery A/c			10,000
	(Depreciation written off)			

(iv) Transfer entries

Transfer entries are passed in the journal proper for transferring an item entered in one account to another account. For example, transferring net profit of ₹ 5,000 to capital account, the following entry is passed:

Transfer Entry

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Profit and Loss A/c Dr.		5,000	
	To Capital A/c			5,000
	(Net profit transferred to capital account)			

(v) Rectifying entries

Rectifying entries are passed for rectifying errors which are committed in the books of accounts.

Example

Purchase of furniture by a stationery dealer for ₹ 10,000 was debited to purchases account. Pass rectifying entry on December 31, 2017.

Rectifying Entry

Date	Particulars	L.F.	Debit ₹	Credit ₹
2017	Furniture A/c Dr.		10,000	
Dec 31	To Purchases A/c			10,000
	(Wrong debit to purchases account rectified)			

(vi) Miscellaneous entries

These are entries which do not occur frequently such as:

(i) Credit purchases and credit sale of assets which cannot be recorded through purchases or sales book.

(ii) Endorsement, renewal and dishonor of bill of exchange which cannot be recorded through bills book.

(iii) Other adjustments like interest on capital, bad debts, reserves, etc.

(iv) Goods withdrawn by the owner for personal use.

(v) Goods distributed as samples for sales promotion.

(vi) Loss of goods by fire, theft and spoilage.

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